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Plaintiff, In Pro Per

**SUPERIOR COURT OF THE STATE OF CALIFORNIA
COUNTY OF SAN FRANCISCO**

**FRANCISCUS DYLAN ROSARIO,
PLAINTIFF,**

v.

CSAA Insurance Exchange; and Does 1 through 50,
inclusive;

DEFENDANTS

Case No.: CGC-25-631802

**PLAINTIFF'S SUPPLEMENTAL
MEMORANDUM OF POINTS AND
AUTHORITIES IN FURTHER OPPOSITION TO
DEFENDANT'S SPECIAL MOTION TO
STRIKE (CODE CIV. PROC., §§ 425.16,
425.17(c))**

(Cal. Rules of Court, rules 3.1113, 3.1306(c); supplemental to
Plaintiff's previously-filed Opposition; cross-noticed for hearings
of May 13, 2026 and May 19, 2026, Dept. 302)

**Cross-noticed for pending defense hearings (this case, Dept.
302):**

#	Motion	Date / dept / judge
(1)	MFL / leave (SAC)	Apr. 30, 2026
(2)	Anti-SLAPP (Code Civ. Proc., § 425.16)	May 13, 2026, 9:30 a.m. ; Dept. 302; Hon. Joseph M. Quinn
(3)	Strike (Code Civ. Proc., § 436)	May 19, 2026 ; Dept. 302; Hon. Joseph M. Quinn
(4)	Demurrer	Hrng. date [TBD] (reserved)

Complaint filed: Dec. 23, 2025
FAC filed: Feb. 25, 2026

I. INTRODUCTION AND VEHICLE

This Supplemental Memorandum of Points and Authorities is respectfully submitted in further opposition to Defendant CSAA Insurance Exchange’s special motion to strike under Code of Civil Procedure section 425.16. It is offered as a supplement to — and not as a substitute for — Plaintiff’s previously-filed Opposition. The vehicle is Cal. Rules of Court, rule 3.1113 (memorandum of points and authorities) read together with Cal. Rules of Court, rule 3.1306(c) (lodging of supplemental authority for hearings), as the supporting Notice of Lodging Supplemental Authority, the Supplemental Request for Judicial Notice, and the bench briefs filed concurrently in this same cross-hearing package make clear. Plaintiff incorporates the previously-filed Opposition by reference and submits this supplemental memorandum to focus the Court’s attention on the structurally prior question raised by Code of Civil Procedure section 425.17(c): whether the special motion to strike procedure is available to Defendant at all.

As shown below, the answer is no. CSAA is, by name, the paradigmatic Section 425.17(c) defendant; its pre-litigation claim-handling communications to Plaintiff are the paradigmatic Section 425.17(c) conduct; and the audience for those communications — Plaintiff himself, an actual customer of the regulated insurance-claims-handling product — is the paradigmatic Section 425.17(c) audience. Because the carve-out applies, Code Civ. Proc., § 425.16 does not apply to Plaintiff’s causes of action, and the special motion to strike must be denied at the gateway without reaching the merits-stage Code Civ. Proc., § 425.16(b)(1) “probability of prevailing” inquiry.

The Supplemental Request for Judicial Notice filed concurrently reproduces the verbatim text of Code Civ. Proc., § 425.17, Code Civ. Proc., § 425.16(e), (g), (i), Code Civ. Proc., § 904.1(a)(13), Civil Code § 47(b), Business and Professions Code § 6128(a), Insurance Code § 790.03(h), and 10 California Code of Regulations § 2695.1. A companion Supplemental Memorandum filed concurrently in this case (the “Customer-Doctrine Supplemental”) addresses the discrete question whether a third-party claimant is a “customer” within the meaning of section 425.17(c)(2); that question is treated only summarily here.

II. STATEMENT OF FACTS GERMANE TO THE § 425.17(C) GATEWAY

The sole moving Defendant in CGC-25-631802 is CSAA Insurance Exchange, a California-licensed insurer. Plaintiff’s pleaded causes of action arise from CSAA’s pre-litigation claims-handling conduct, including: (a) communications made to Plaintiff as the claimant-customer; (b) representations concerning the status and conclusions of the claim investigation; and (c) the issuance of a denial communication. Each of those communications was made in the course of CSAA’s delivery of the insurance services for which premiums had been paid. The intended audience throughout was Plaintiff himself — an actual customer of CSAA. The conduct also took place within the context of the regulatory regime administered by the California Department of Insurance under § 790.03(h) and the Fair Claims Settlement Practices Regulations at 10 CCR § 2695.1 et seq.

III. LEGAL STANDARD — § 425.17(C) IS A STRUCTURAL GATEWAY

A. The Carve-Out Is Categorical and Sequentially Prior to § 425.16.

The Legislature enacted Code of Civil Procedure section 425.17 in 2003 because it determined that Code Civ. Proc., § 425.16 was being misused. Code Civ. Proc., § 425.17(a) declares: “[T]here has been a disturbing abuse of Section 425.16, the California Anti-SLAPP Law, which has undermined the exercise of the constitutional rights of freedom of speech and petition for the redress of grievances, contrary to the purpose and intent of Section 425.16.” Subdivision (c) is the Legislature’s response to one identifiable category of abuse: special motions to strike filed by commercial actors — including, by name, those engaged in the business of insurance — to defeat causes of action that arise from their own commercial representations or from conduct undertaken in the course of delivering their goods or services to actual or potential customers.

The California Supreme Court has confirmed in *Simpson Strong-Tie Co. v. Gore* (2010) 49 Cal.4th 12, and the Court of Appeal has reaffirmed in *JAMS, Inc. v. Superior Court* (2016) 1 Cal.App.5th 984 and *Stewart v. Rolling Stone LLC* (2010) 181 Cal.App.4th 664, that the carve-out is categorical: when its elements are met, Code Civ. Proc., § 425.16 “does not apply” at all. The Court does not weigh competing interests; it declines to extend the special motion to strike procedure to the category of disputes the Legislature has removed from that mechanism. *Club Members for an*

1 *Honest Election v. Sierra Club* (2008) 45 Cal.4th 309 supplies the sequencing rule: where Code
2 Civ. Proc., § 425.17 is invoked, the trial court must address the carve-out before any Code Civ.
3 Proc., § 425.16 analysis. This sequencing is not optional.

4 **B. The Two-Element Test of § 425.17(c).**

5 The two elements of Code Civ. Proc., § 425.17(c) are straightforward. **First**, the defendant must be
6 “primarily engaged in the business of selling or leasing goods or services,” with insurance specifi-
7 cally enumerated. **Second**, the cause of action must arise from a statement or conduct that consists
8 either of representations of fact about the defendant’s business operations, goods, or services, made
9 for the purpose of obtaining approval for, promoting, or securing a commercial transaction, **or** of
10 conduct made in the course of delivering those goods or services. In addition, Code Civ. Proc.,
11 § 425.17(c)(2) requires that the intended audience be (i) an actual or potential buyer or customer;
12 (ii) a person likely to repeat the statement to or otherwise influence such a customer; or (iii) alter-
13 natively, that the conduct have arisen out of or within the context of a regulatory approval process,
14 proceeding, or investigation. Each of these audience branches is independently sufficient.

15 **IV. ARGUMENT — THE § 425.17(C) CARVE-OUT REQUIRES DENIAL OF THE**
16 **SPECIAL MOTION TO STRIKE**

17 **A. CSAA Is the Paradigmatic § 425.17(c) Defendant.**

18 CSAA is a California-licensed insurer. Insurance is one of the named industries in the text of Code
19 Civ. Proc., § 425.17(c). The first element is satisfied as a matter of law.

20 **B. Plaintiff’s Causes of Action Arise from Conduct “Made in the Course of Delivering” In-**
21 **urance Services.**

22 Each pre-litigation claim-handling communication — representations about the status of investiga-
23 tion, communications regarding the basis for denial, and the denial communication itself — was,
24 by its nature, “made in the course of delivering” the insurance services for which premiums had
25 been paid. That is the very phrase Code Civ. Proc., § 425.17(c)(1) uses to capture commercial
26 conduct that cannot be re-characterized as protected speech for anti-SLAPP purposes.

1 **C. The Intended Audience Was Plaintiff, an Actual Customer of the Insurer.**

2 The intended audience for each operative communication was Plaintiff himself — an actual cus-
3 tomer of CSAA. That alone satisfies Code Civ. Proc., § 425.17(c)(2). Independently, to the extent
4 any communication can be said to have “arisen out of or within the context of” the Department of
5 Insurance’s regulatory regime — which it did, because Insurance Code § 790.03(h) and 10 CCR
6 § 2695.1 et seq. directly govern misrepresentations to claimants, the duty to adopt reasonable in-
7 vestigation standards, and the obligation to attempt prompt, fair, and equitable settlement — the
8 alternative branch of Code Civ. Proc., § 425.17(c)(2) is independently triggered.

9 **D. Defendant’s “Free Speech” Re-Characterization Fails.**

10 Defendant resists this conclusion by re-characterizing the operative conduct as “petitioning” or
11 “speech in connection with an issue of public interest” under Code Civ. Proc., § 425.16(e). That
12 re-characterization fails for three independent reasons.

13 **First**, the conduct at issue is not speech directed at, or in connection with, any official proceed-
14 ing; it is commercial speech directed at the insured during the adjustment of a private contractual
15 claim. The mere fact that a denial letter eventually became a subject of litigation does not retroac-
16 tively convert pre-litigation claim handling into “petitioning activity.” *Rusheen v. Cohen* (2006) 37
17 Cal.4th 1048, and the cases following it, draw a clear line between communicative acts integral to
18 a judicial proceeding and the underlying non-communicative or pre-litigation conduct that gives
19 rise to a cause of action. The gravamen of Plaintiff’s claims is the latter.

20 **Second**, even where some element of the conduct could plausibly be styled as speech, Code Civ.
21 Proc., § 425.17(c) governs by its own terms; the carve-out is not displaced by the breadth of Code
22 Civ. Proc., § 425.16(e). The Legislature wrote Code Civ. Proc., § 425.17 precisely to override that
23 kind of categorical re-characterization in the commercial context.

24 **Third**, *Flatley v. Mauro* (2006) 39 Cal.4th 299, reaffirmed in *Lefebvre v. Lefebvre* (2011) 199
25 Cal.App.4th 696, holds that conduct conceded or shown as a matter of law to be illegal is not
26 protected by Code Civ. Proc., § 425.16 in the first instance. To the extent Defendant’s special
27 motion depends on conduct that, on an uncontroverted record, violates § 790.03(h) or constitutes
28 extrinsic fraud, the *Flatley* gateway closes regardless of how the conduct is labeled.

1 **E. The “Concealment of the Failure to Investigate” Theory Is Squarely Within § 425.17(c)(1).**

2 Plaintiff’s pleaded theory — that the insurer communicated a denial premised on a represented
3 conclusion of investigation when in fact no adequate investigation had occurred — is structurally
4 a § 790.03(h)(1) and (h)(3) theory dressed in common-law clothing. The Court need not decide on
5 this motion whether each statutory element has been violated; it need only recognize that conduct
6 alleged to have violated § 790.03(h) is, by definition, conduct “in the course of delivering” insur-
7 ance services and therefore squarely within Code Civ. Proc., § 425.17(c)(1). Whether Plaintiff
8 ultimately prevails on the merits is not the question on a Code Civ. Proc., § 425.16 special motion;
9 the question is whether Defendant may use Code Civ. Proc., § 425.16 to extract that theory from
10 the ordinary civil process. Code Civ. Proc., § 425.17(c) answers that question in the negative.

11 **F. The Cross-Noticed § 436 Motion Does Not Rescue the Defense.**

12 Defendant has cross-noticed a motion under Code Civ. Proc., § 436 that incorporates by reference
13 the “everything is petitioning” rhetoric of its anti-SLAPP papers. *PH II, Inc. v. Superior Court*
14 (1995) 33 Cal.App.4th 1680, 1682–83, holds that a Code Civ. Proc., § 436 motion is not a backdoor
15 demurrer; by parity of reasoning, it is not a backdoor anti-SLAPP motion either. To the extent
16 the Code Civ. Proc., § 436 papers attempt to import Code Civ. Proc., § 425.16(e) themes, they
17 collide with the same Code Civ. Proc., § 425.17(c) carve-out that defeats the special motion: the
18 underlying conduct is commercial-insurer claims handling, not protected petitioning.

19 **G. § 425.17(e) — No Interlocutory Appeal, No Stay, No Writ.**

20 If this Court denies the special motion to strike on Code Civ. Proc., § 425.17 grounds — as it
21 must on this record — the denial is not subject to interlocutory appeal under Code Civ. Proc.,
22 § 904.1(a)(13). Code Civ. Proc., § 425.17(e) is explicit. The Legislature concluded that the
23 ordinary anti-SLAPP appeal route is itself a vehicle for abuse where the underlying claim was
24 never within Code Civ. Proc., § 425.16 to begin with. The Court of Appeal cannot be drafted into
25 delay where the trial court has done what Code Civ. Proc., § 425.17 directs: applied the carve-out,
26 declined the special motion, and returned the matter to the ordinary civil docket.

1 **V. CONCLUSION**

2 CSAA is the paradigmatic Code Civ. Proc., § 425.17(c) defendant. Its pre-litigation communi-
3 cations to Plaintiff are the paradigmatic Code Civ. Proc., § 425.17(c) conduct. The audience for
4 those communications was the paradigmatic Code Civ. Proc., § 425.17(c) audience. There is no
5 jurisprudential or textual route by which Defendant can carry its threshold burden to invoke Code
6 Civ. Proc., § 425.16. Plaintiff respectfully requests that the Court deny the special motion to
7 strike at the gateway under Code Civ. Proc., § 425.17(c), without reaching the second prong of the
8 anti-SLAPP analysis, and proceed with the ordinary civil docket in CGC-25-631802.

Dated: April 30, 2026



/s/ Franciscus Dylan Rosario

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